

HOW IT WORKS?

In periods of less volatility, the standard deviation decreases and as a result, the width of the Bollinger band decreases. In periods of higher volatility, standard deviation and thus the width of Bollinger bands increases. This way, Bollinger bands help us understand the volatility of the recent asset price. The closing price of an asset is expected to stay within Bollinger bands and whenever they move out, it is expected to reverse and come back within the bands. The proximity of the asset price from these bands helps us make inferences.

ELEMENTS

The Bollinger bands begin with a Simple Moving Average of the closing price. The Bands are calculated around a simple moving average. The second element is the time horizon for which we will calculate the SMA and the Bollinger bands. We can change the length of the time period by altering the parameters. The next two elements are the upper band and the lower band. We will use these to make decisions. Lastly, we have to pick the deviation of the bands – 1 standard deviation, 1.5 standard deviations or 2 standard deviations. The width will depend on our use of the Bollinger bands and our strategy's requirements.

TRADING SYSTEM

Bollinger bands do not produce very reliable trading signals independently. However, they can be used with other indicators in a variety of different ways. First, the closing price is expected to stay within the bands. As a result, the Bollinger bands can be used to determine profit targets when accepting a deal using other indicators.

Next, whenever the width of bands goes down significantly, it means that the asset is also somewhere near the convergence of moving averages. We can combine the two, look for the divergence in moving averages and after confirmation with Bollinger bands, enter a trade. Lastly, whenever prices move out of Bollinger bands, we can expect a reversal. We can expect to benefit from this reversal. So, we can look for reversal confirmation using other indicators and then enter a trade.